NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 21.11.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA)No.11/230/AMR/2022		230	Amara Raja Power Systems Limited (Demerged Company) and Amara Raja Infra Private Limited (Resulting Company

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA)No.11/230/AMR/2022 is allowed, vide separate orders.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.11/230/AMR/2022
Connected with
CA (CAA) No.5/230/AMR/2022

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Arrangement (Demerger) of **M/s. AMARA RAJA POWER SYSTEMS LIMITED**, the Demerged Company (having its registered office at Andhra Pradesh) with **M/s. AMARA RAJA INFRA PRIVATE LIMITED**, the Resulting Company (having its registered office in Andhra Pradesh)

In the matter of

Amara Raja Power Systems Limited,
Registered office at Renigunta, Cuddapah Road,
Karakambadi, Tirupati – 517520

... Petitioner No.1/Demerged Company

Amara Raja Infra Private Limited,
Registered office at Renigunta,
Cuddapah Road, Karakambadi,
Tirupati – 517520.

…. Petitioner No.2/Resulting Company

Date of pronouncement of order: 21.11.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

Appearance:

For the Petitioners: Mr. R.Ramakrishna Gupta, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Amara Raja Power Systems Limited, Petitioner No.1/Demerged Company and M/s. Amara Raja Infra Private Limited, Petitioner No.2/Resulting Company under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Demerged Company for Scheme of Arrangement (the Scheme for short) with the Resulting Company. All the Petitioner Companies registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner No.1/Demerged Company as on 31.12.2021, was Rs.10,00,00,000/-, divided into 1,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.9,39,80,150/- divided into 93,98,015 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of manufactures, producers, assemblers, dealer, importers, exporters, stockists, distributors, agents, suppliers, designers, fabricators, erectors of uninterrupted power systems, Batteries, Battery chargers, Transformers, Power

regulators, Starters, Transfer Switches, Protective Relays, Low Tension and High Tension Switch gears and other energy power conservatives systems and appliances etc.

ii. The Authorised Share Capital of the Petitioner No.2/Resulting Company as on 31.12.2021 was Rs.17,00,00,000/-, divided into 1,70,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.11,83,50,000/- divided into 1,18,35,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business as proprietors, developers, builders, managers, operators, hirers and dealers of all kinds of immovable properties including but not limited to that of lands, buildings, factories, offices, sheds, warehouses, workshops, stores, dwellings, housing colonies, shops, farm houses, cinema halls, hotels, shopping malls, guest houses, convention centers, cold stores and to carry on all the incidental and allied activities and business as are usually carried on by proprietors, developers, builders, managers, operators, hirers and dealers etc.

iii. According to the Petitioner Companies, the Scheme of Arrangement (Demerger) of Petitioner Companies would facilitate in greater visibility on the performance of the demerged business, operational rationalization, enhance organization

efficiency and optimum utilization of various resources and to enable a dedicated management focus, acceleration in growth, greater levels of decentralized empowerment, enhance competitiveness, increase accountability and strengthen performance culture of the Demerged undertaking and benefit the stakeholders of the Petitioner Companies.

iv. The Board of Directors of the Petitioner Company approved the scheme in their respective Board Meetings held on 19.02.2022 and 18.02.2022. The appointment date is 01.04.2022. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from the Equity Shareholders of the 2nd Petitioner Company.

v. The Tribunal, by order dated 13.05.2022 directed the Petitioner Companies to convene and hold the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors (having claims of above Rs.1,00,000/-) of the Demerged Company and Resulting Company and dispensed with the meeting of the Equity Shareholders of the 2nd Petitioner Company. A meeting was convened and held on 30.06.2022 and the scheme of arrangement was approved by the respective shareholders and creditors in the same meeting. The voting details are as under:

MEETING OF EQUITY SHAREHOLDERS OF 1st PETITIONER COMPANY				
Sl.No.	**Details**	**Particulars**		
1	Members present	In person		By proxy
		5		3
2	Result of the voting	In favour		against
		92,91,643		NIL
MEETING OF SECURED CREDITORS OF 1st PETITIONER COMPANY				
Sl.No.	**Details**	**Particulars**		
1	Secured Creditors Present	In person		By proxy
		5		N/A
2	Result of the voting	In favour		against
		5		NIL
MEETING OF UNSECURED CREDITORS OF 1st PETITIONER COMPANY				
Sl.No.	**Details**	**Particulars**		
1	Unsecured Creditors Present	In person		By proxy
		32		57
2	Result of the voting	In favour		against
		22,88,67,077.59		NIL
MEETING OF SECURED CREDITORS OF 2nd PETITIONER COMPANY				
Sl.No.	**Details**	**Particulars**		
1	secured Creditors Present	In person		By proxy
		4		N/A
2	Result of the voting	In favour		against
		49,96,15,249		NIL
MEETING OF UNSECURED CREDITORS OF 2nd PETITIONER COMPANY				
Sl.No.	**Details**	**Particulars**		
1	Unsecured Creditors Present	In person or By proxy		
		102		
2	Result of the voting	In favour	against	Abstained
		100	NIL	2

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 25.10.2022 and raised the following objections and the Petitioner Companies replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **01.11.2022**
1	The Directorate has received letter dated 30.08.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers and records and shall not be disposed of without the prior permission of the	Undertaking given by the Petitioner Companies: a. They will preserve their books of accounts, papers and records and shall not dispose off without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.

	Central Government in terms of Section 239 of the Companies Act, 2013.	
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	b. They will ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the Petitioner companies would not be absolved for any of its statutory liabilities in any manner.
	c) The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule	c. They will comply with Rule 17(2) of the Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of

	17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Company.	scheme to be filed in Form INC-28 with the RoC, AP.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company shall file an application with RoC indicating the revised authorised capital and proof of paying prescribed fees due on revised capital after	d.The Company will file an application with the office of concerned RoC indicating the revised authorized capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by the Demerged Company.

	setting of that fee already paid by Transferor Companies.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to furnish an undertaking that, if any demand arises in future with respect to Petitioner Companies will pay such dues to the Income Tax Authorities as per law.	It will pay all the dues, if any demanded by the Income Tax Authorities in future with respect to the Demerged Company and the Resulting Company as per law.

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Companies has filed reply to the report of the Official Liquidator (OL) which is as follows;

S.No	Observations of Official Liquidator filed on 09.09.2022	Clarification of the Petitioner Companies filed on 20.09.2022
1	Clause 9.1 of Part-"B" of the Scheme seeks to protect all staff, workmen and employees of the Demerged	1. The Petitioner Companies gave undertaking to the effect that there would be no retrenchment of any

	Company relating to Demerged undertaking as on date of effective of the Scheme. Hence, this Hon'ble Tribunal may be pleased to direct the Demerged and Resulting Companies to submit an undertaking to this Hon'ble Tribunal to the effect that there would be no retrenchment of any employee who was in service as on the Appointed Date as well.	employee who was in service as on the Appointed Date i.e., 01.04.2022.
2	Clause 14, 15 & 16 of Part-"C" of the Scheme provides for Accounting treatment of the Demerged and Resulting Companies, but it was not specified about the method of accounting treatment. Hence, this Hon'ble Tribunal may be pleased to direct the	The Demerged Company and the Resulting Company follow the Indian Accounting Standards for preparation of their financial statements and so Accounting Standard-14 (AS-14) is not applicable to the Petitioner Companies.

	Demerged and Resulting Companies to submit an undertaking to this Hon'ble Tribunal "not to deviate from the provisions of Accounting Standard-14 – Pooling of Interest Method"	Further, Indian Accounting Standard -103 Business Combinations shall be applicable to the Company and the Petitioner Companies undertake that they will not deviate from the provisions of Indian Accounting Standard – 103 Business Combination and the method of accounting treatment shall be Pooling of Interest Method. Further, the Petitioner Companies given undertaking to that effect that the Petitioner Companies will not deviate from the provisions of Indian Accounting Standard – 103.
3	As per the information provided by the Demerged and Resulting Companies, certain statutory liabilities	The Petitioner Companies given undertaking that the Petitioner Companies shall meet the statutory liabilities

	are pending. Further, appeal filed by the Resulting Company against the orders of RoC, Vijayawada, is pending before the Regional Director (South East Region), Hyderabad.	as and when they are due and payable. Further, the Resulting Company shall comply with outcome of appeal filed before the Regional Director, South-East Region against the order of the Registrar of Companies, Vijayawada.
4	The Demerged and Resulting Companies have submitted unaudited Balance Sheets as at 31.03.2022 (i.e., appointed date 01.04.2022) without any reports. Hence, this Hon'ble Tribunal may be pleased to direct the Demerged and Resulting Companies to submit the audited financial as at 31.03.2022 (i.e., appointed date 01.04.2022) along with Reports and notes for verification and record of	The Audited Financial Statements of the Demerged Company and the Resulting Company for the Financial Year ended on 31.03.2022 along with the Auditor's Report are submitted.

	the office of the Liquidator and also to file further report, if any, before this Hon'ble Tribunal.	

6. The Official Liquidator (OL) filed further report stating that observations are complied and stated that after perusal of Balance sheets of both the Petitioner Companies as on 31.03.2022, it is observed that the Auditors have made similar observations in both the Petitioner Companies. Further, the Official Liquidator (OL) did not raise any serious objections against accepting the Scheme of Arrangement of the Petitioner Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Arrangement (Copy of the Scheme enclosed at Page No.241 to 295 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2022 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal.

The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.11/230/AMR/2022 stands disposed of.

Sd/-
JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu